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AI

Europe's AI gold rush creates once- in-a- generation moment for pre-seed investors

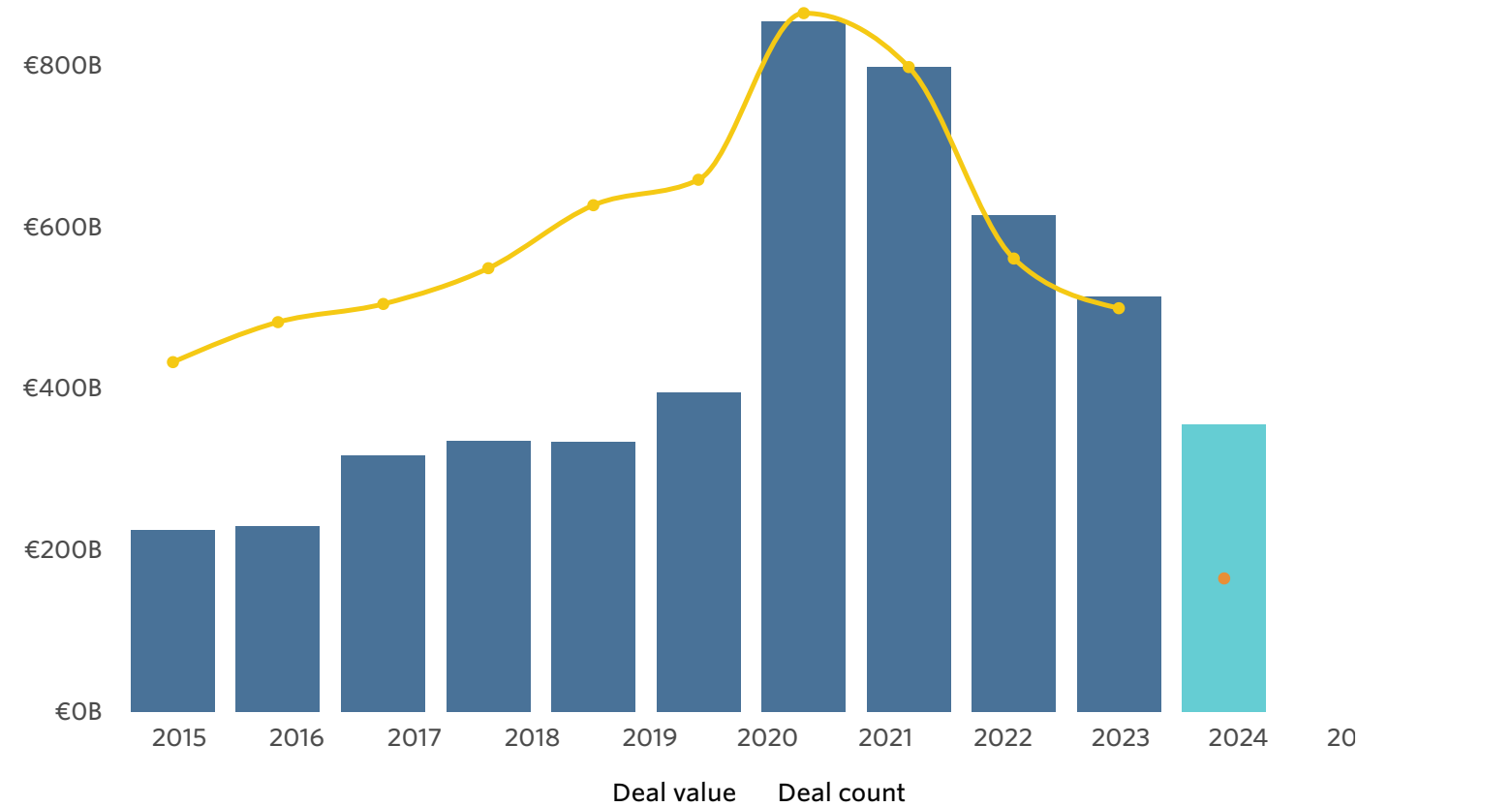
By [Leah Hodgson](#)

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Europe is seeing a resurgence in pre-seed dealmaking as a new generation of founders, spurred by a wave of AI innovation, enter the startup ecosystem en masse.

After three consecutive years of decline, pre-seed investment has spiked in Europe this year. According to PitchBook data, deal value stood at €355.7 million (\$406.5 million) as of June 2, over two-thirds of last year’s annual total. Deal count has not followed at the same pace, signaling that those raising funding are securing increasing amounts of capital from fewer investors.

European pre-seed dealmaking recovers



Source: PitchBook data • Geography: Europe
As of June 2, 2025

PitchBook

The growth in pre-seed deal value eclipses all other stages, and at the current pace, investment is projected to reach levels not seen since 2021’s peak.

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“This is our third year investing out of the current fund, and we have probably had the most active months ever,” [Octopus Ventures](#) partner Kirsten Connell said. “We’re 3x-ing in terms of investment pace. In some cases, great quality founders are getting their investment rounds squared away in a matter of days.”

According to [LocalGlobe](#) GP George Henry, the technological and cultural shift around AI is driving the frenzied pace of dealmaking.

New technology allows founders to solve problems that just a few years ago may have been impossible. It has also unlocked new use cases from law to logistics. Most of Europe’s largest pre-seed rounds over the past year have been for AI-native startups, including German AI chip company [Gemsys](#)’ €8.6 million round and Belgian agentic AI developer [Ravical](#)’s €7.3 million raise.

Abundance redefined

“In 2021, pre-seed dealmaking was driven by an abundance of money. It got to a point where there was zero risk in launching a startup,” Henry said. “What’s different now is that an abundance of ideas is driving that activity. The capital in the market is there to serve the ideas and not the other way around.”

According to Henry, AI is also changing the European mindset toward entrepreneurialism, which has historically been much more risk-averse than in the US. Being a startup founder is seen as a more acceptable career choice not only for those just finishing university, but also for doctors, lawyers and accountants looking to solve pain points in their respective industries through automation.

The result is a wave of new startups and founders looking for funding, who often have a competitive edge over more mature competitors. Building products and services around AI from the ground up allows for greater speed and a more efficient use of data. It also significantly reduces costs.

“You can build a startup in the application layer with a very small amount of capital,” [Seedcamp](#) associate Will Bennett said. “Creating products is much cheaper now, and with the tools available today, you don’t necessarily have to hire in the short run.”

These efficiencies are allowing startups to reach significant milestones—user traction and revenue—in a much shorter timeframe than before. According to Bennett, in some cases, founders are pitching at pre-seed just months after launching with clients and revenue already in hand.

Unlike dealmaking, pre-seed valuations have largely not seen a surge. According to PitchBook’s [Q1 European VC Valuations Report](#), the median pre-seed price tag fell to €2.4 million in Q1—the only stage where the median went down.

According to Connell, there is a significant difference between the valuations for companies building “must-haves” instead of “nice-to-haves.”

Henry noted that repeat founders command higher valuations as they benefit from a track record of building startups and tend to have an advantage over first-time entrepreneurs when launching a company within their skill set.

A key factor for the lower valuations is the change in mindset stemming from the VC downturn that started in 2022.

“There are a lot of founders now with the maturity to build a successful company without having crazy valuations,” Connell said. “They don’t want to run the risk of rolling into those valuations. Compared to 2021, it’s a more sensible and healthy market now.”

Connell added that large valuations also make less sense for pre-seed investors due to the risk associated with the stage. Even more so than for any other stage, pre-seed investors need to back outliers to return the fund, and they will typically be heavily diluted with future funding rounds if the company is successful. “It’s tough to make the venture maths work if you’re going in at a crazy high valuation,” she said.

Lower barriers

While launching a startup is cheaper than ever, that doesn’t necessarily mean that it’s easier. The influx of capital and tools has lowered entry barriers, but it has also made it harder for many startups to stand out, and competition is fierce.

Given that many startups are arriving at pre-seed with clients and revenue, the bar has been raised higher for founders looking for funding.

While that doesn’t mean entrepreneurs with just the bare bones of a product won’t be able to raise, said Bennett, it does mean that they need to demonstrate that they can build and have a clear vision for the future of their business.

The quality of the team is far and away the most crucial factor for investors. At the same time, increased competition is making life more difficult for investors.

“No one wants to miss out on the next big AI company,” said Connell. “When LLM models came to the market, there were dozens of pitches that were almost identical in areas like AI co-pilots for lawyers, for example. It becomes harder to distinguish which team is actually going to win.”

Replication risk is also a key concern for founders and investors, as products, especially those built on top of widely available LLMs, can be duplicated quickly by rivals.

“Startups need to show defensibility,” Bennett said. “If you build a SaaS or consumer app that works, then rest assured, a lot of people will code that up over a weekend and compete with you.”

Despite some categories being saturated, investors see strong opportunities in several key areas of AI. Henry pointed to AI infrastructure as an opportunity for growth.

“There’s still a lot of AI infrastructure that needs to be built to automate all the workflows that people think AI can automate, whether within enterprise or consumer,” he said. “The more AI infrastructure gets built, the more tools to manage, monitor and facilitate this infrastructure will emerge.”

Henry highlighted agentic commerce—a model in which consumers enable autonomous AI agents to select and purchase products or services on their behalf—as an area to watch.

Bennett noted, on the enterprise side, that demand for AI systems that automate complex workflows but still incorporate human oversight is growing. Additionally, AI that replaces high-turnover jobs, such as call center work, is gaining traction for its cost-saving potential.

Vertical AI, where applications are purposely built for a specific industry, is another area attracting significant investor attention and where Europe may have an edge. According to Henry, the region’s fragmentation and complexity offer local startups an advantage over foreign peers as they are in a better position to build specialized products.

A new era for pre-seed

The AI-driven surge in Europe’s pre-seed activity reflects more than just a spike in investment; it signals a redefinition of what it means to build and invest in startups at the earliest stage. Companies are launching faster and scaling quicker, but that also means the margin for error is thinner in many cases.

The next wave of generational companies may be seeded in this moment of AI-fueled momentum, and with so many AI-native startups entering the fray, the challenge of backing the right company is more intense than ever.

“A lot of money is going to be made, and a lot of money is going to be lost,” Henry said. “The question is, at the end of the day, whether there is more value creation in aggregate than money loss. And that’s why I think the AI hype is justified because the gains of winning far outweigh the risk of losing.”

Featured image by Rawf8/Getty Images



About [Leah Hodgson](#)

Leah Hodgson is a London-based senior reporter for PitchBook, covering the venture capital ecosystem across Europe and the Middle East. Leah, who joined PitchBook in 2018, graduated from the University of Surrey with a BA in international politics with French. She has previously been a radio reporter in France. She later turned to financial journalism, covering the wealth management industry.

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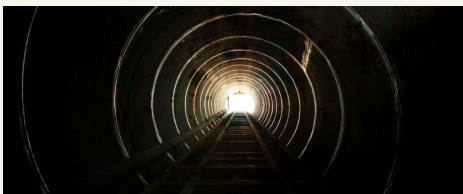
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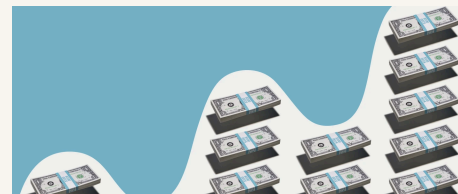


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